Design

Business Acumen

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Table of contents

01. Understanding

02. Mapping experiences

03. Creating hypothesis

04. Reflecting

05. Wrapping up

06. Sharing and Q&A

01
Understanding

"If you think good design is expensive, you should look at the cost of bad design."

—Dr. Ralf Speth,
Former CEO of Jaguar Land Rover

Source: CareerFoundry.com

Understanding

Design business acumen

66%

of CEOS don’t understand what their Senior Designers do

Source: McKinsey Quarterly

Companies prioritizing design generated

32% more revenue

+

56% higher shareholder returns

Source: McKinsey & Company The Business Value of Design

Design matters

15% to 25% of all rework budget is spent fixing design defects

Source: Capers Jones reworkcosts.com

17% of shopping cart abandonment is caused by bad UX

Source: Baymard Institute

30% longer time on task in poorly designed software

Source: Forester

Business acumen is about understanding how your company makes and uses money and then using that knowledge to make smarter, more informed business decisions.

Applying business acumen in design



In the chat, brainstorm opportunities for us to:

- Reduce time on task for users
- Improve employee effectiveness with education
- Increase customer satisfaction to reduce churn

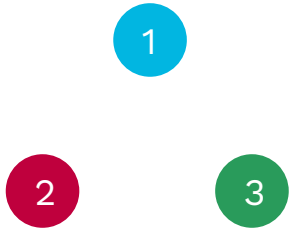
02

Mapping experiences

Mapping experiences helps us build an understanding of an experience to identify opportunities for improvement



Experience mapping steps

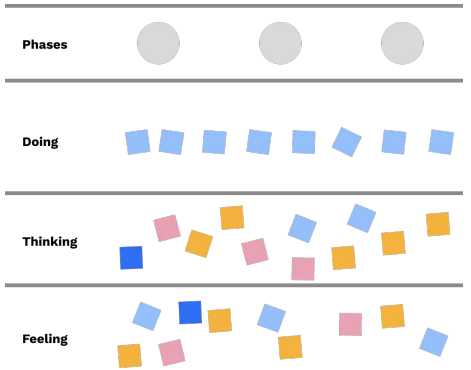


1. Choose an experience you want to map. Examples:

    1. A task that requires a lot of time
    2. Employee experiences that education could help solve
    3. A difficult customer experience that could increase attrition



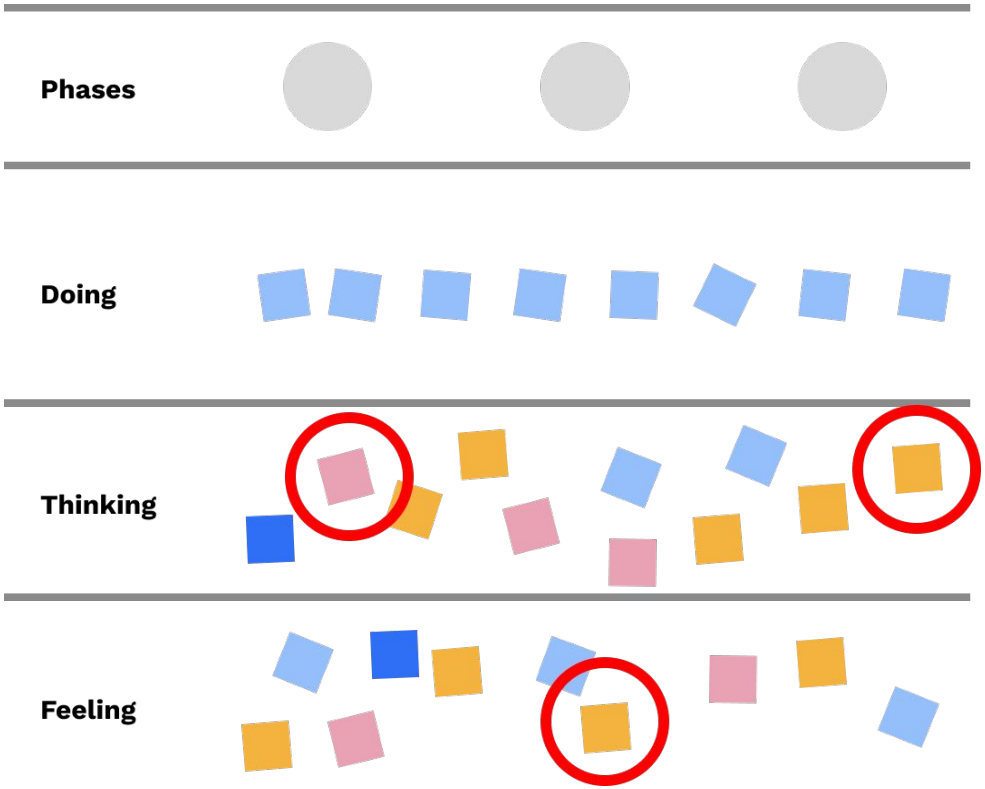
2. Write the phases of the experience across the top of the map



3. Populate each swim lane with with sticky notes that capture what you believe the person experiences as they go through each phase.

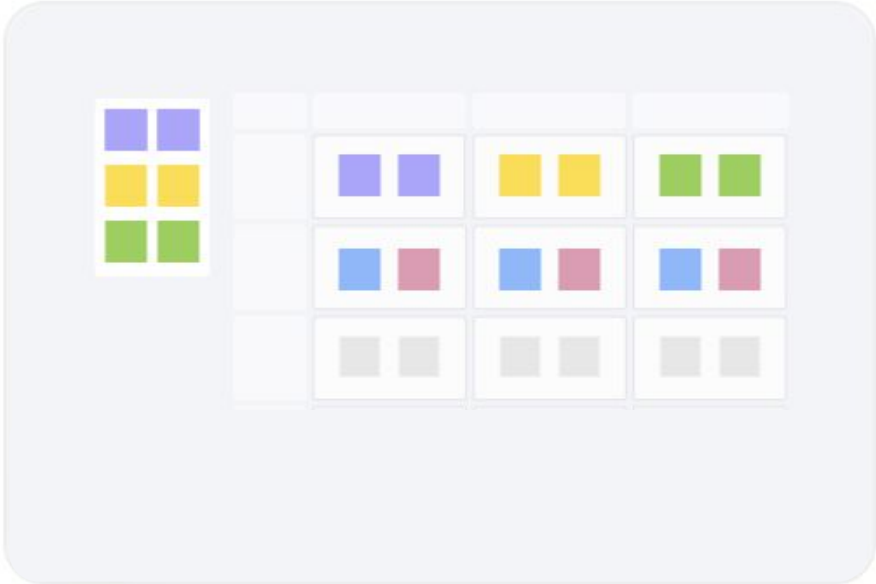
What are they doing, thinking, feeling?

4. Identify pain points in the experience with a red circle or a star



Try it yourself:

Join the activity in Miro



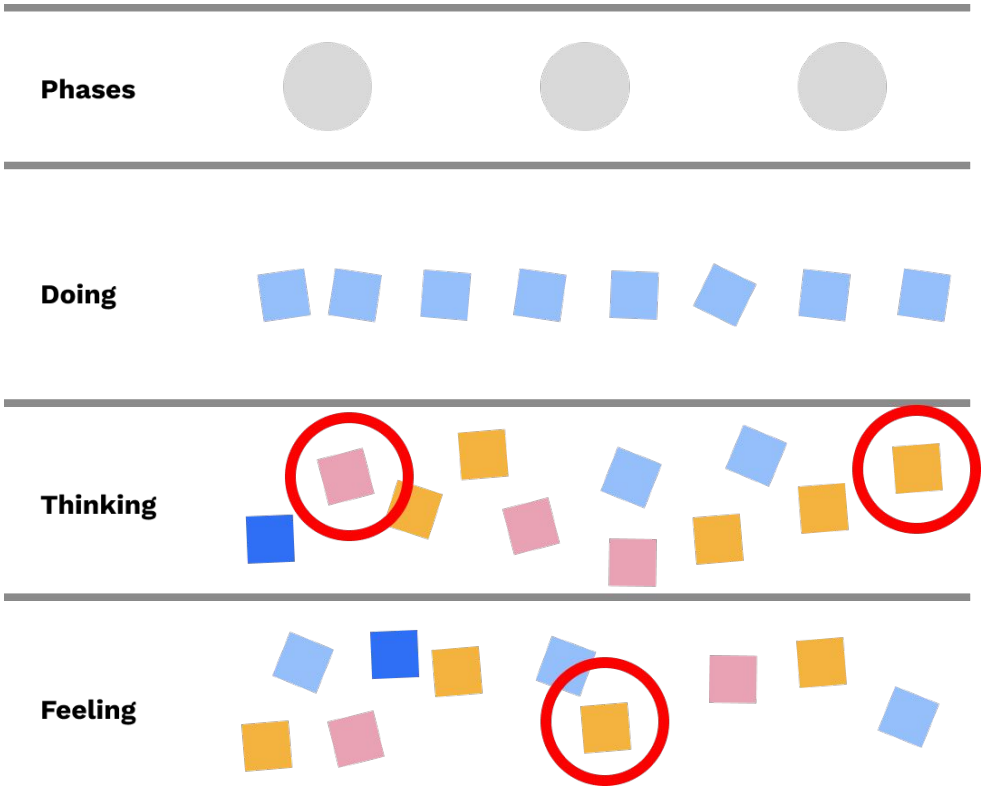
Miro

Link:
https://miro.com/app/board/uXjVHkbXw-M=/?share_link_id=780547536085

03

Creating hypothesis

Look back at your experience map and list out the pain points



Creating a hypothesis steps

1. Define the business lever that your experiences' pain point impacts

2. Estimate the financial impact that solving this pain point could have

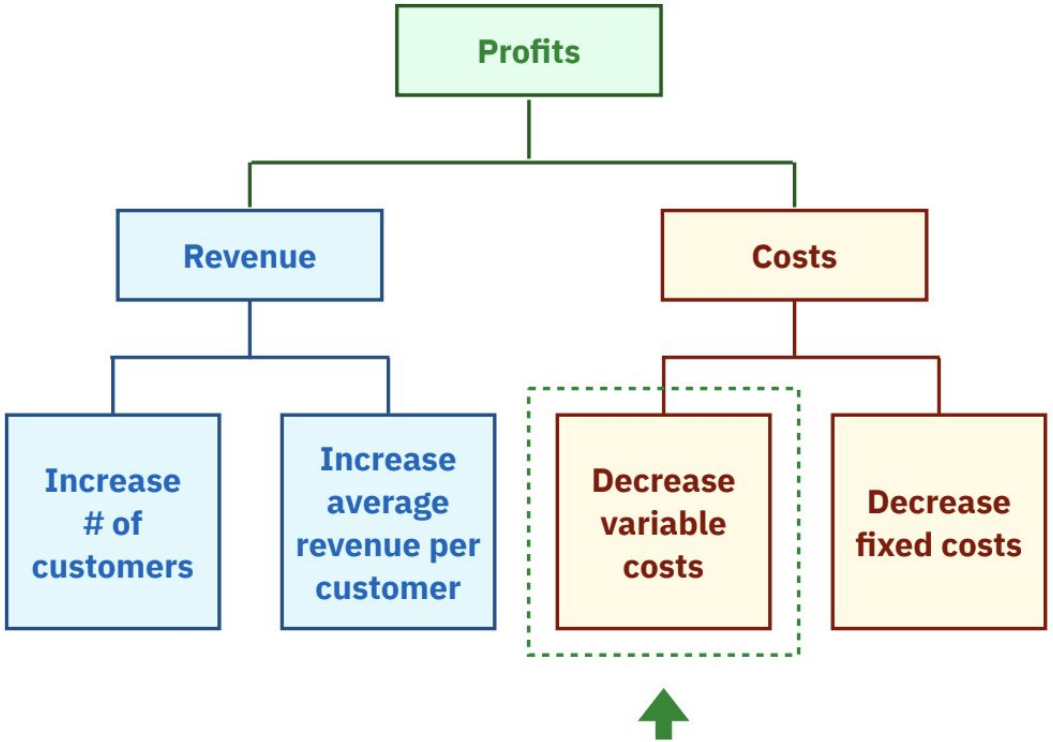
3. Communicate with a hypothesis

Creating hypothesis

1. Identifying business levers

Companies make and use money based on incoming revenue and variable or fixed costs.

These are our business levers.



2. Estimating financial impact

Status quo

What is the business lever I want to improve?

Impact estimation

How much will my project improve the business?

2. Estimating financial impact

	Status quo	Impact estimation
Time on task	1 hour	30 minutes
Hourly rate	50$/hr	50$/hr
Number of employees	5	5
Hours spent on task per week	4	2
Hours for the team per year	20x52 = 1040	520
Cost per year	$52,000	$26,000

Cost saving to the business: $26,000/per team

3. Communicate with a hypothesis

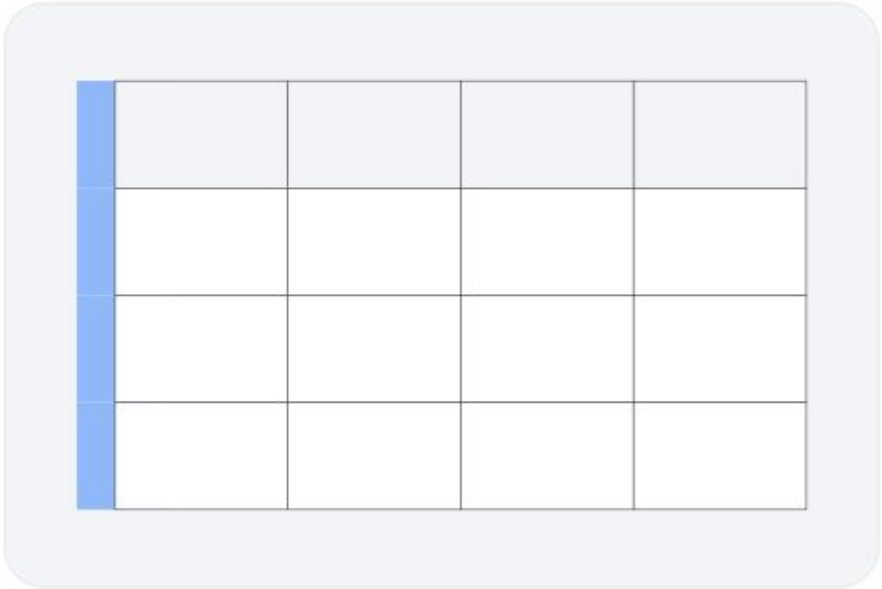
“According to analysis, **ABC project** could help us save time on task.

We could save each employee an average of 104 hours per year. This time could be used on other jobs to be done.

Each employee on this five person team, has an hourly rate of $50. With this new feature we can anticipate over $26,000 in decreased variable costs to the business.”

Try it yourself:

Join the activity in Miro



Miro

Link:
https://miro.com/app/board/uXjVHkbXw-M=/?share_link_id=780547536085

04
Reflecting

Benefits of design business acumen



Let’s reflect on:

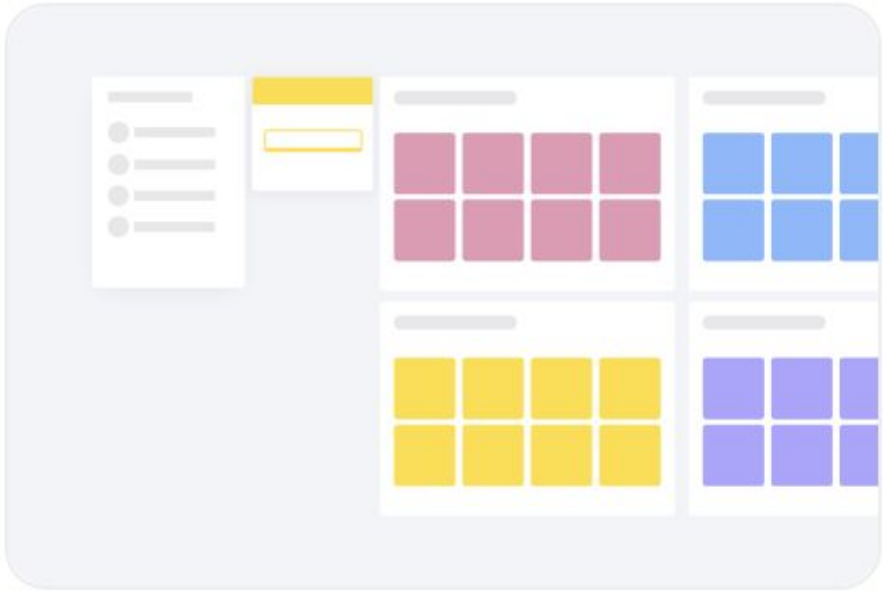
how your company makes and uses money and how you can use that knowledge to make smarter, more informed business decisions.

Reflect with us:

Join the activity in Miro

How might you use design business acumen in future?

Name one thing you can do better the next time you get the chance to apply design business acumen.



Miro

Link:
https://miro.com/app/board/uXjVHkbXw-M=/?share_link_id=780547536085

05

Wrapping up

Category	Best research methods	Metrics to track
Happiness	• Attitudinal surveys • Qualitative interviews	• CSAT & NPS scores • Perceived ease of use
Engagement	• Product analytics • Clickstream analysis	• Session frequency & duration • DAU/MAU ratio (stickiness)
Adoption	• Funnel analytics • Cohort analysis	• % of new activations • New account creations
Retention	• Cohort analysis • Churn modeling	• Return user rate • Subscription renewal rate
Task Effectiveness	• Usability testing • Event Logs	• Completion vs. failure rate • Total error counts
Task Efficiency	• Usability testing • Eye & mouse tracking	• Time on task • Number of steps to complete

Wrapping up

Here are some examples of research method you can use to gather research metrics on your future projects.

These metrics will help you benchmark and advocate using business acumen in your design work.

06

Sharing and Q&A

Join the community, share your work and follow our updates:
https://www.domain.com
#slack-channel
info@domain.com

Thank you